Casa de Bolsa Interacciones

PREVIEW

Food

BIMBO A MM

Price
(MXN, as of 16/02/2018)
MXN$44.01

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.816

MARKET CAP. (MXN MN)
208,634

DL VL TRADED (AV. MXN MN)
100.4

TARGET PRICE
P$44 / Var. TP -0.5%

HOLD

*TP Under Review

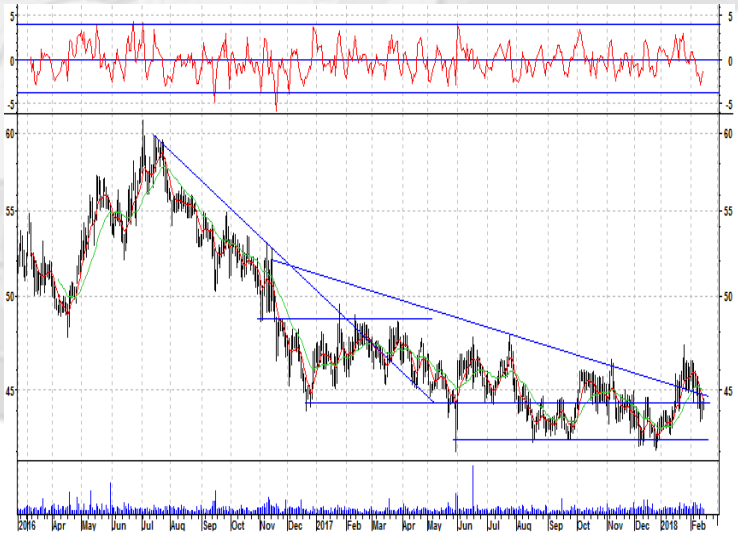
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Q417 Estimates

Unfavorable quarter - We expect Bimbo to continue showing weak quarterly results, due to lower profitability levels in its Mexican, and European operations. We believe that the stock could be affected in the short term.

Sales will grow marginally - We expect Bimbo's revenues to rise 4% YoY reaching MXN$71.6 billion. In Mexico, they would advance 7% YoY, due to a combination of higher prices and volumes, as well as a better mix of products. In North America, sales would grow only 4.0% YoY, aided by the acquisition of Stonemill Bakehouse, but limited by the exchange rate impact. In Europe, revenues could rise 15% YoY, driven by the acquisitions of East Balk Bakeries and Ready Roti. However, in Latin America, we estimate a 5% YoY fall, as a result of the foreign exchange impact.



Margin contraction - Bimbo's EBITDA margin would suffer a 191 bp contraction, resulting in a 10.6% margin. This is mainly due to a lower estimated profitability in Mexico, due to the impact of hedges, as well as operating pressures in some of the divisions. This situation will generate a 12% YoY reduction in the company's EBITDA, which would amount to MXN$7.6 billion in Q417.

Higher net profit - The net profit will improve significantly thanks to a lower tax rate, which should compensate the high foreign exchange losses.

Multiples	2014	2015	2016	L12M
P/E	54.4x	41.8x	37.5x	48.5x
P/BV	3.8x	3.7x	3.1x	3.3x
EV/EBITDA	13.8x	12.1x	10.3x	9.8x

	Q417e	Q416	Dif (%)
Sales	71,645	68,862	4.0%
Operating Income	5,358	3,509	52.7%
EBITDA	7,600	8,618	-11.8%
Net Income	974	86	1033.1%

	4T17e	4T16	Dif (bp)
Operating Mgn. (%)	7.5%	5.1%	238
EBITDA Mgn. (%)	10.6%	12.5%	-191
Profit Mgn. (%)	1.4%	0.1%	124

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Casa de Bolsa Interacciones

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*